

Our pension plan asset allocation at December 31, 2019, and 2018, and target allocation for 2020 by asset category are as follows:

Asset Category	Target Allocations	Percentage of Plan Assets at December 31,	
	2020	2019	2018
Equity securities	13%	13%	12%
Debt securities	83%	83%	84%
Other	4%	4%	4%
Total	100%	100%	100%

We employ a liability-driven investment strategy whereby a mix of equity and fixed-income investments are used to pursue a de-risking strategy which over time seeks to reduce interest rate mismatch risk and other risks while achieving a return that matches or exceeds the growth in projected pension plan liabilities. Risk tolerance is established through careful consideration of plan liabilities and funded status. The investment portfolio primarily contains a diversified mix of equity and fixed-income investments. Other assets such as private equity are used modestly to enhance long-term returns while improving portfolio diversification. Investment risk is measured and monitored on an ongoing basis through quarterly investment portfolio reviews, annual liability measurements, and asset/liability studies at regular intervals.

The following table summarizes the fair values of our pension plan assets:

	As of December 31,	
	2019	2018
Equity securities - U.S. holdings ⁽¹⁾	\$ 24,586	\$ 20,469
Equity funds - U.S. holdings ^{(1) (7)}	—	54
Bond funds - government ^{(4) (7)}	33,991	19,146
Bond funds - other ^{(5) (7)}	207,901	202,393
Real estate ^{(6) (7)}	2,979	2,652
Cash and cash equivalents ⁽²⁾	5,700	5,866
Partnerships ⁽³⁾	7,539	9,172
Total fair value of plan assets	\$ 282,696	\$ 259,752

The fair values at December 31, 2019, are classified within the following categories in the fair value hierarchy:

	Quoted Prices in Active Markets (Level 1)	Significant Other Observable Inputs (Level 2)	Significant Unobservable Inputs (Level 3)	Not Leveled	Total
Equity securities - U.S. holdings ⁽¹⁾	\$ 24,586	\$ —	\$ —	\$ —	\$ 24,586
Bond funds - government ^{(4) (7)}	—	—	—	33,991	33,991
Bond funds - other ^{(5) (7)}	—	—	—	207,901	207,901
Real estate ^{(6) (7)}	—	—	—	2,979	2,979
Cash and cash equivalents ⁽²⁾	5,700	—	—	—	5,700
Partnerships ⁽³⁾	—	—	7,539	—	7,539
Total	\$ 30,286	\$ —	\$ 7,539	\$ 244,871	\$ 282,696

The fair values at December 31, 2018, are classified within the following categories in the fair value hierarchy:

	Quoted Prices in Active Markets (Level 1)	Significant Other Observable Inputs (Level 2)	Significant Unobservable Inputs (Level 3)	Not Levelled	Total
Equity securities - U.S. holdings ⁽¹⁾	\$ 20,469	\$ —	\$ —	\$ —	\$ 20,469
Equity funds - U.S. holdings ^{(1) (7)}	—	—	—	54	54
Bond funds - government ^{(4) (7)}	—	—	—	19,146	19,146
Bond funds - other ^{(5) (7)}	—	—	—	202,393	202,393
Real estate ^{(6) (7)}	—	—	—	2,652	2,652
Cash and cash equivalents ⁽²⁾	5,866	—	—	—	5,866
Partnerships ⁽³⁾	—	—	9,172	—	9,172
Total	\$ 26,335	\$ —	\$ 9,172	\$ 224,245	\$ 259,752

(1) Comprised of common stocks of companies in various industries. The Pension Plan fund manager may shift investments from value to growth strategies or vice-versa, from small cap to large cap stocks or vice-versa, in order to meet the Pension Plan's investment objectives, which are to provide for a reasonable amount of long-term growth of capital without undue exposure to volatility, and protect the assets from erosion of purchasing power.

(2) Comprised of investment grade short-term investment and money-market funds.

(3) Comprised of partnerships that invest in various U.S. and international industries.

(4) Comprised of long-term government bonds with a minimum maturity of 10 years and zero-coupon Treasury securities ("Treasury Strips") with maturities greater than 20 years.

(5) Comprised predominately of investment grade U.S. corporate bonds with maturities greater than 10 years and U.S. high-yield corporate bonds; emerging market debt (local currency sovereign bonds, U.S. dollar-denominated sovereign bonds and U.S. dollar-denominated corporate bonds); and U.S. bank loans.

(6) Comprised of investments in securities of U.S. and non-U.S. real estate investment trusts (REITs), real estate operating companies and other companies that are principally engaged in the real estate industry and of investments in global private direct commercial real estate. Investments can be redeemed immediately following the valuation date with a notice of at least fifteen business days before valuation.

(7) Comprised of investments that are measured at fair value using the NAV per share practical expedient. In accordance with the provisions of ASC 820-10, these investments have not been classified in the fair value hierarchy. The fair value amount not leveled is presented to allow reconciliation of the fair value hierarchy to total fund pension plan assets.

The pension plan assets recorded at fair value are measured and classified in a hierarchy for disclosure purposes consisting of three levels based on the observability of inputs available in the marketplace used to measure fair value as discussed below:

- **Level 1:** Fair value measurements that are based on quoted prices (unadjusted) in active markets that the pension plan trustees have the ability to access for identical assets or liabilities. Market price data generally is obtained from exchange or dealer markets.
- **Level 2:** Fair value measurements based on inputs other than quoted prices included in Level 1 that are observable for the asset, either directly or indirectly. Level 2 inputs include quoted prices for similar assets in active or inactive markets, and inputs other than quoted prices that are observable for the asset, such as interest rates and yield curves that are observable at commonly quoted intervals.
- **Level 3:** Fair value measurements based on valuation techniques that use significant inputs that are unobservable.

The table below reconciles the Level 3 partnership assets within the fair value hierarchy:

	Amount
Fair value of Level 3 partnership assets at January 1, 2018	\$ 10,787
Capital contributions	78
Realized and unrealized gain	1,154
Capital distributions	(2,847)
Fair value of Level 3 partnership assets at December 31, 2018	\$ 9,172
Capital contributions	120
Realized and unrealized gain	(139)
Capital distributions	(1,614)
Fair value of Level 3 partnership assets at December 31, 2019	\$ 7,539

The partnership fund manager uses a market approach in estimating the fair value of the plan's Level 3 asset. The market approach estimates fair value by first determining the entity's earnings before interest, taxes, depreciation and amortization and then multiplying that value by an estimated multiple. When establishing an appropriate multiple, the fund manager considers recent comparable private company transactions and multiples paid. The entity's net debt is then subtracted from the calculated amount to arrive at an estimated fair value for the entity.